

More Than Meets the Eye

Q2 a tale of two cities with 150bp OSG miss (AI glasses the main culprit) but ~100bp H1 mgin beat (ex tariff refund) on strong cost mgmt. Still no FY26 guide - we cautiously cut OSG by 100bp to 6.5%, but 40bp mgin lift leaves EPS intact. EL is a struct. shr taker in a steadily growing optical market, but also a chief innovator across MedTech, Digital & Care. A re-rating from 10Y low valuation is deserved and the recent reset of '26 cons (now <8%cc) shall help.

Q2 demonstrates resilience (again). Q2 OSG reached 8.7%cc, a bit shy of estimates (cons +10.2%cc). The seq. decel. from Q1 mainly stems from AI glasses (~3pp contrib vs ~5pp in Q1). Myopia mgmt portfolio starred again (+24% in Q2 after +26% in Q1) boosted by [US launch of Stellest 1.0](#) in 4Q25 and momentum from Stellest 2.0 in China.

AI-glasses adoption cooling a bit, but still strong. Sales more than tripled y/y in FY25 with >7m units sold, while 2Q26 sales nearly doubled y/y. Yet we do not extrapolate such trends going fwd - we estimate ~10m units sold in FY26 (>€2bn in sales or >2pp contrib), climbing to ~20m units by end-30 (<€5bn in sales). Despite competition, we believe Meta/EL will keep the lion's share of the booming mkt, given 1st-mover advantage, customer-appealing brands and unique distrib. capabilities. We also flag recent EL moves as evidence of its leading edge in the field - AMAT partnership to develop a best-in-class display product, partial reshoring of AI-glasses production to Italy to permit luxury/brand broadening.

Margin reassures. H1 mgin 18.6% gained 80bp at cc, o/w 60bp from net tariff impact (we estimate €100-150m in tariff refunds). On an underlying basis, this still leaves H1 mgin ~100bp above expectations, which shall alleviate fears of further margin erosion. With EL also hinting at further GM improvement, we cautiously expect 2H26 mgin to be "only" flat y/y at <13.5%.

No formal guide for '26 (as always). Given tough comps, we now expect LSD growth in H2 after +9.7% in H1 leading to reduced FY26 OSG of +6.5% (+7.5% prev / cons <8%) - this is backed by a resilient Eye Care market (+3-4%), AI-glasses contrib. (>2pp) and bolt-on M&A (~1pp). We now expect mgin to climb 20bp y/y, as EL is standing firm behind its quali. guide that mgin dilution (if any) shall prove minimal in FY26 and beyond thanks to reduced contrib. and better mgin for AI-glasses (higher ASP; Rx lens attachment; scale) and Opex control. Overall, we expect marginal EPS cuts for cons. from these results

New 5-year guide unchanged. EL remains committed to "solid sales growth" by 2030 (i.e HSD), with "broadly aligned adj EBIT growth" over the period.

Eyes on Tech Prize. EL is a structural share taker/prime consolidator in a steadily growing optical mkt but also a strong innovator from MedTech (Stellest) to Digital (Ray-Ban Meta) and Care (Nuance, Oculomics). With the shares halving from Nov peak (margin reset, misplaced compet. fears, corp. gov.), we see a very compelling risk/reward into a quality growth compounder.

FY (Dec)	2025A	2026E	2027E	2028E
Rev. (MM)	28,490.8	30,014.9	32,531.9	34,987.1
EBIT (MM)	4,459.1	4,784.5	5,181.2	5,632.0
EPS	6.79	7.15	7.80	8.45
Cons. Rev.	28,462.7	30,311.0	33,020.9	36,258.2

ESTIMATE CHANGE

RATING	BUY
PRICE	€168.65 ^A
PRICE TARGET % TO PT	€250.00 +48%
52W HIGH-LOW	€323.80 - €160.60
FLOAT (%) ADV MM (USD)	67.1% 130.72
MARKET CAP	€77.6B \$88.3B
TICKER	EL FP

^APrior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEF ^e		JEF vs CONS	
	2026	2027	2026	2027
REV	NM	<-1%	-1%	-1%
EPS	NA	NA	-3%	-4%

2026 (€)	Q1	Q2	Q3	Q4	FY
EPS	--	--	--	--	7.15
PREV					

Consensus source: Visible Alpha

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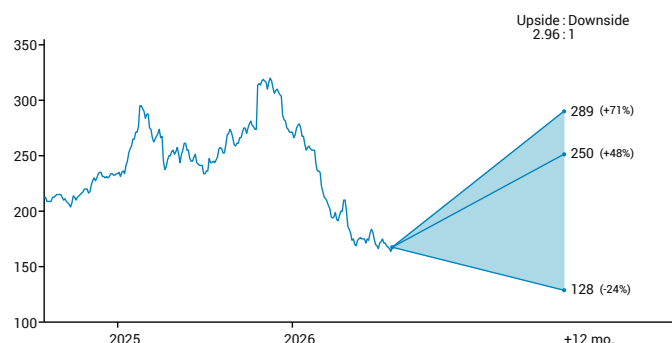
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The Long View: EssilorLuxottica

Investment Thesis

- EL is a structural outperformer and prime consolidator in a steadily growing optical market.
- EL is also increasingly perceived as a lead innovator from MedTech (Stellest) and Luxury to Digital (Ray-Ban Meta) and Hearing Care (Nuance).
- With top-line and margin on the cusp of accelerating, we believe EL deserves a superior valuation with Meta as an anchor partner/shareholder.

Risk/Reward - 12 Month View



Base Case, €250, +48%

- We forecast sales growth of ~8%cc over 2026-28e.
- We estimate EBIT margin to slowly recover towards 16-17% by the end of the decade.
- Equally weighted avg of a DCF valuation and two comps-based valuation

Upside Scenario, €289, +71%

- We forecast sales growth of 9-10%cc in '26e.
- We estimate EBIT margin to jump towards 16.0% in '26e.
- Comps valuation with a 40-50% premium over a blended P/E 26e of Luxury and Eye Care leading to an implied P/E 26e of ~40x for EL.

Downside Scenario, €128, -24%

- We forecast sales growth of 5-6%cc in '26e.
- We estimate EBIT margin to decline towards 15.0% in '26e.
- Comps valuation with 20-30% discount vs a blended P/E 26e of Luxury and Eye Care leading to an implied P/E 26e of ~20x for EL.

Sustainability Matters

Top material issue: The key ESG issue for EL is its GHG emissions, which are a result of its energy use throughout supply chain and logistics activities.

Company targets / metrics: EL set the following science-based emission reduction targets:

- 1) 42% absolute reduction of Scopes 1&2 GHG emissions by 2030 from a 2022 baseline;
- 2) 25% absolute reduction of Scope 3 GHG emissions on selected categories (purchased goods and services, fuel - and energy - related activities, upstream transportation and distribution and waste generated in operations) within the same timeframe.

Also key is EL's 'Eyes on world sight' programme, aiming to eliminate uncorrected poor vision by 2050 as part of a collaborative effort along with >20 leaders in vision care.

Qs to mgt: Will carbon reduction targets be expanded to include Scope 3 emissions, in addition to 1 & 2, and if so, when? How will circularity aims impact revenue growth, given they will presumably lead to reduced demand volume?

Click [here](#) for our EMEA General Retailers ESG overview.

Catalysts

- 20 Oct 26 - 3Q26 sales
- 1H26: US approval (and roll-out) of SightGlass Vision
- 2026: global roll-out of Stellest 2.0

Exhibit 1 - Changes in estimates for EssilorLuxottica

EssilorLuxottica (EURm) Dec-year end	2026e	New 2027e	2028e	Old 2026e	2027e	2028e	Delta 2026e	2027e	2028e
Net sales	30,015	32,532	34,987	30,100	32,730	35,525	(0%)	(1%)	(2%)
% cc	6.5%	7.5%	7.5%	7%	9%	9%			
% FX	(1.1%)	0.8%	0.0%	(1.8%)	0.2%	0.0%			
Professional Solutions	13,655	14,728	15,759	14,056	15,209	16,426	(3%)	(3%)	(4%)
% cc	1.4%	7.0%	7.0%	5.2%	8.0%	8.0%			
Direct to Consumer	16,360	17,804	19,229	16,044	17,521	19,099	2%	2%	1%
% cc	11.0%	8.0%	8.0%	9.6%	9.0%	9.0%			
EBIT adjusted	4,785	5,181	5,632	4,672	5,138	5,664	2%	1%	(1%)
% margin	15.9%	15.9%	16.1%	15.5%	15.7%	15.9%			
Diluted EPS adjusted	7.15	7.80	8.45	7.15	7.80	8.55	(0%)	(0%)	(1%)
% growth	5%	9%	8%	5%	9%	10%			

Source: Jefferies estimates

Highlights from the Call

Mgmt strategic statement on Oculomics

Rather than positioning itself as an eyewear company, management is effectively presenting a roadmap to become a healthcare platform centered around the eye.

The real story is no longer smart glasses - it's **oculomics**. EL is trying to expand its TAM far beyond vision correction and eyewear into preventive healthcare and diagnostics. Mgmt is explicitly describing the eye as a gateway to systemic disease detection, citing hundreds of studies validating retinal biomarkers for diabetes, cardiovascular disease and cognitive decline. The combination of Heidelberg OCT imaging and RetinAI's AI analytics creates the technological foundation. This is consistent with EL's acquisition of RetinAI, which added AI-powered retinal image analysis and biomarker capabilities to the group.

LensCrafters becomes the front door of healthcare. The mention of the Philadelphia Vision & Eye Health Surgery Center may be even more important than it initially sounds. Mgmt is describing a future network where optical stores evolve into healthcare hubs combining eye examinations, disease screening, surgical procedures and referral pathways into hospitals. The striking remark that LensCrafters could become America's largest cardiovascular screening platform is intended to signal how mgmt views its retail footprint: not as stores, but as distributed healthcare infrastructure.

EL is moving upstream into medical services. Historically, EL generated value from selling lenses and frames. The new model adds diagnostics, screening, medical services, surgery and healthcare data. This resembles a shift from a product company toward a platform company. The short-term objective is clearly stated: build a healthcare layer connecting patients and hospitals.

Data becomes a strategic asset. The data governance discussion is noteworthy, with mgmt emphasizing protected datasets, compliance, cross-geography use and accountability. This is critical because the oculomics opportunity depends on building one of the world's largest repositories of retinal images and associated health outcomes. Without proprietary data, RetinAI's AI capabilities become much less differentiated.

Applied Materials partnership is bigger than it first appears and much more than a smart-glasses initiative. Mgmt discussed waveguides, adaptive lenses, electroactive lenses, light modulation, prescription integration and semiconductor-grade manufacturing. This suggests mgmt believes the lens itself will become an intelligent computing platform. The strategic logic is powerful with Meta bringing AI ecosystems, EL bringing eyewear brands and distribution, and Applied Materials bringing industrial manufacturing expertise. Prototypes exist and first product launches could happen as early as 2027.

Overall, mgmt is effectively trying to secure ownership of the next-gen optical tech stack before competitors emerge.

Smartglasses

We estimate ~3pp contrib to Q2 OSG (vs ~5pp in Q1) with Q2 sales just shy of €400m - we also estimate 1H26 sales around €825m range (vs >€400m in 1H25).

All KPIs are improving y/y (sales, costs, penetration of Rx/Transition).

Profitability will continue to improve thanks to scale, Rx attachment and ASP.

New models Blazer/Scriber launched in April - specifically designed to be worn as Rx glasses, with an expected rise in penetration of Rx lenses (currently >30% for RB).

Higher ASPs are helping with stronger contribution from higher-priced products - portfolio now spanning from Meta Glasses and RB Meta Gen 1 at \$299, then RB Meta Gen 2 at \$379, Oakley Meta at \$399, Blazer/Scriber at \$499 and Meta RB Display at \$799.

Meta partnership

EL always had a two-tiered positioning between premium/luxury and more entry-level category - same applies to smartglasses.

Meta Glasses target a population segment that was so far not addressed - not dilutive to margin thanks to markup and at lower end of existing price assortment.

EL capabilities fully behind Meta partnership and so far very fine with the partnership.

Would not confirm the ability to sell third-party smartglasses but have prev elaborated on space for third-party products usually 5-10% of EL stores and newcomers would replace other products.

Will enlarge the product range in order to properly segment customers based on usage of the product, on affordability and on features - ended '25 with about 40 SKUs, today around 60 SKUs (with 11 models) and could end '26 at around 80 SKUs (Prada? Other brands?)

Q2 sales

Q2/H1 growth aligned with MT guidance of solid growth.

Core biz was up at upper end of MSD in Q2 incl bolt-on (close to 1.5% incl Top Charoen that we estimate at ~€35m sales in Q2).

North Am - up 7.2%cc with PS up LSD and DTC up DD (LC up HSD).

EMEA - up 8%cc despite high base, with PS up LSD and DTC up DD.

H1 margin / tariff refund

Tariff - net impact of 60bp between Q1 tariffs paid vs Q2 differential in tariffs paid vs tariff refund in Q2 (clearly much lower than €300m).

Out of 80bp margin improvement in H1 at cc, 60bp come from tariff refund.

Expect more tariff refunds in H2 and will be fully disclosed at end-FY26.

Tariff refund creates a headwind into '27 - we suspect more self-help will be activated to mitigate most of it.

2H26

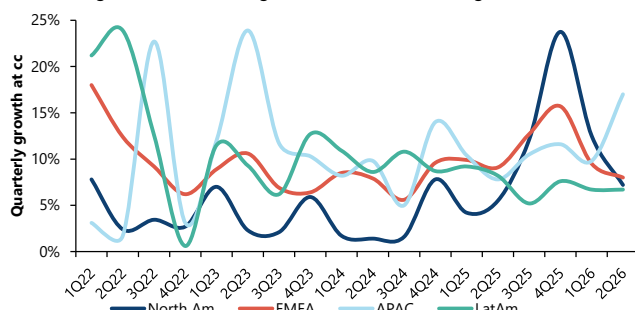
Very conscious of demanding comps but confident given nice growth in July, expect improvement in Stelless productivity in the US, strong pipeline (can't be too specific but Varilux, AI glasses shall have some newness, Nuance Gen 2.0, MedTech assets with broadened G2M).

Opex - inflationary pressures under control and no source of concern from a cost standpoint into H2
- work closely with Meta on procurement of chips and memories.

Tariffs - not materially lower, so little y/y impact.

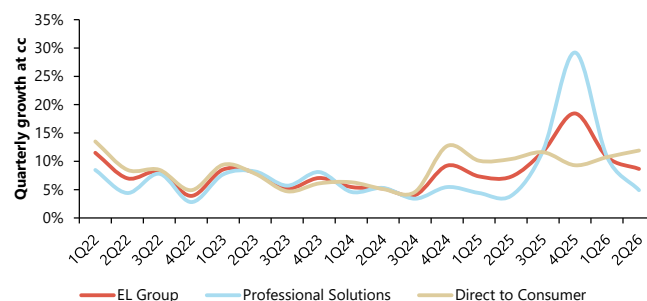
Good reasons to assume better GM in H2.

Exhibit 2 - All regions contribute to growth, with US recovering



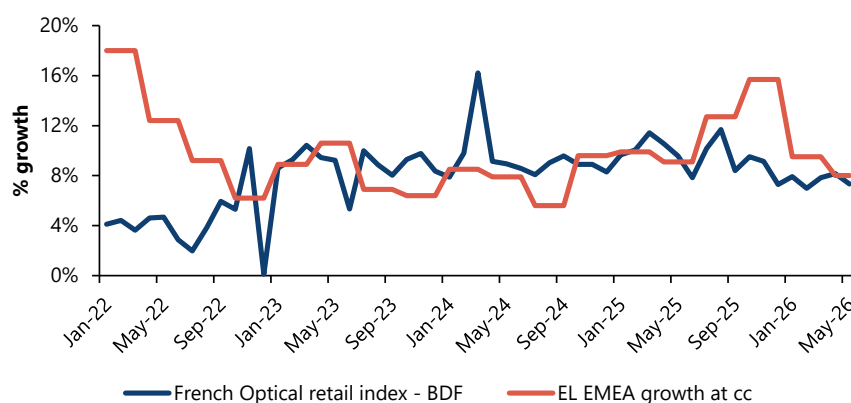
Source: Company data, JEF

Exhibit 3 - A well-balanced growth by business



Source: Company data, JEF

Exhibit 4 - Monthly BDF Optical data a good proxy for EMEA growth at EL



Source: Banque de France, Company data

Stelless / Myopia Mgmt (MM)

+24% growth in Q2 on the back of +26% in Q1.

~25% of MM sales now made ex-China (was <20% in FY25).

Reminder MM sales grew 22% to ~€410m in FY25 from €350m in FY24.

US - now available through 11,000 doors (vs 6,000 post-Q1 and 4,000 in Feb) with three priorities = establish protocols with doctors (journey for kids, not a single product), increase awareness and expand distribution (all key accounts to be activated by Jul/Aug).

US - 15m children from the age of 5 to 17 that are corrected for their myopic vision (compares with 100-120m in China) - applying the 20% penetration rate of Stellest in China would translate into a meaningful potential over time.

Managed Care - already available in VSP formularies, so reimbursed from here.

APAC - Stellest 2.0 (micro-lenses optimized, with increased myopia slowdown) launched in China in Jul '25 (global roll-out during '26) with progressive roll-out and priority on clinics, hospitals and key accounts.

Japan launch in Jun 26.

Price positioning - Stellest a bit higher with DOT/Nikon close and DOT/Kodak further below.

New clinical evidence presented at ARVO 2026 with "the most comprehensive evidence base ever built around myopia spectacle lenses" - this includes a 7-yr Chinese follow-up confirming sustained Stellest efficacy.

Nuance

"progressing along its discovery path, building awareness and adoption"

2nd-gen launch on the cards for mid-Sept - improved battery life, improved audio amplification, additional features and improved design.

16,000 doors with vast majority in B2B.

Increased productivity when the test is performed in-store.

Valuation

We value EL through an equally weighted average of a DCF valuation (WACC 7.0%; TGR 2.5%) and two comps-based valuations (30% premium to Eye Care peers; 10-20% premium to Luxury peers) - this yields an unchanged PT of €250 per share.

At our PT, the shares would trade at ~32x P/E '27e. We believe this is warranted, given EL's status of structural outperformer and leading consolidator in the steadily growing optical market, a derisked earnings profile over 2026-28e and the free option from unique growth opportunities in new segments (AI-glasses, Stellest, Nuance, Eye Care).

Exhibit 5 - Valuation summary for EL

Valuation summary	
DCF	285
Comps vs Eye Care	230
Comps vs Luxury	234
Average	250

Source: JEF estimates

Exhibit 6 - Our DCF valuation for EL

EUR m	2022	2023	2024e	2025	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e
Sales	24,494	25,394	26,508	28,491	30,015	32,532	34,987	37,629	40,470	43,303	46,334	49,578	53,048	56,762
% reported growth	23.6%	3.7%	4.4%	7.5%	5.3%	8.4%	7.5%	7.5%	7.6%	7.0%	7.0%	7.0%	7.0%	7.0%
% growth at cc	17.1%	7.2%	6.0%	11.2%	6.5%	7.5%	7.5%	7.5%	7.6%	7.0%	7.0%	7.0%	7.0%	7.0%
EBITDA adjusted	6,192	6,261	6,634	6,742	7,189	7,757	8,394	9,101	9,867	10,525	11,226	11,974	12,772	13,623
as a % of sales	25.3%	24.7%	25.0%	23.7%	24.0%	23.8%	24.0%	24.2%	24.4%	24.3%	24.2%	24.2%	24.1%	24.0%
Depreciation (excl PPA)	2,077	2,083	2,220	2,283	2,405	2,576	2,762	2,975	3,199	3,301	3,402	3,501	3,597	3,690
as a % of sales	8.5%	8.2%	8.4%	8.0%	8.0%	7.9%	7.9%	7.9%	7.9%	7.6%	7.3%	7.1%	6.8%	6.5%
EBIT adjusted	4,115	4,178	4,414	4,459	4,785	5,181	5,632	6,126	6,668	7,223	7,824	8,473	9,175	9,933
as a % of sales	16.8%	16.5%	16.7%	15.7%	15.9%	15.9%	16.1%	16.3%	16.5%	16.7%	16.9%	17.1%	17.3%	17.5%
Tax	(946)	(961)	(1,015)	(1,026)	(1,100)	(1,192)	(1,295)	(1,409)	(1,534)	(1,661)	(1,799)	(1,949)	(2,110)	(2,285)
% tax rate	23%	23%	23%	23%	23%	23%	23%	23%	23%	23%	23%	23%	23%	23%
Working capital	(199)	122	628	1,244	1,488	1,792	2,042	2,318	2,577	2,822	3,089	3,380	3,696	4,040
as a % of sales	(0.8%)	0.5%	2.4%	4.4%	5.0%	5.5%	5.8%	6.2%	6.4%	6.5%	6.7%	6.8%	7.0%	7.1%
Change in working capital	(321)	(321)	(506)	(616)	(244)	(304)	(250)	(276)	(259)	(245)	(267)	(291)	(316)	(344)
Capex	(1,572)	(1,532)	(1,522)	(1,525)	(1,501)	(1,627)	(1,749)	(1,881)	(2,024)	(2,205)	(2,402)	(2,616)	(2,848)	(3,099)
as a % of sales	6.4%	6.0%	5.7%	5.4%	5.0%	5.0%	5.0%	5.0%	5.0%	5.1%	5.2%	5.3%	5.4%	5.5%
Free Cash Flows	3,674	3,447	3,590	3,576	4,344	4,635	5,100	5,534	6,051	6,413	6,758	7,119	7,498	7,895
% growth		(6%)	4%	(0%)	21%	7%	10%	9%	9%	6%	5%	5%	5%	5%

Year	0	1	2	3	4	5	6	7	8	9
Discount rate	1.00	0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54
Discounted FCF	4,344	4,332	4,456	4,519	4,618	4,575	4,506	4,437	4,368	4,299

WACC calculation assumptions	
Debt as a % of capital	13%
Cost of debt	2.2%
Marginal tax rate	23%
Effective cost of debt	1.7%
Risk-free rate	4.0%
Equity risk premium	8.0%
Beta	0.47
Cost of equity	7.8%
WACC	7.0%
LT growth	2.5%

Source: JEF estimates

Exhibit 7 - Comps valuation for EL

Eye Care comps valuation (P/E)	2026e
EssiLuxe - EPS	7.15
P / E (x) - Eye Care peers	24.7
Premium to Eye Care peers	30%
Implied valuation (EUR / shr)	230

Luxury comps valuation (P/E)	2026e
EssiLuxe - EPS	7.15
P / E (x) - Luxury peers	28.4
Premium to Luxury peers	15%
Implied valuation (EUR / shr)	234

Source: JEF estimates

Exhibit 8 - EL valuation vs Luxury / Eye Care peers

Peer multiples	Share price	Mkt cap (EUR bn)	P/E		EV / EBIT	
			CY26e	CY27e	CY26e	CY27e
Alcon (Michael SARCONI)	CHF 56.5	30.3	20.5	17.9	16.8	15.0
Bausch & Lomb (Young LI)	USD 16.6	5.2	20.6	15.6	14.8	12.9
Carl Zeiss	EUR 30.0	2.6	23.6	18.4	19.3	15.5
Cooper Co (Young LI)	USD 72.1	12.6	15.6	14.4	14.3	13.3
Fielmann	EUR 41.5	3.5	15.9	14.3	11.7	10.6
Hoya (Masahiro NAKANOMYO)	JPY 23,765	42.5	29.8	26.4	23.0	20.2
National Vision (Brian TANQUILUT)	USD 21.8	1.6	22.6	18.5	20.2	17.4
Safilo	EUR 1.66	0.7	15.1	12.7	10.3	9.1
Warby Parker	USD 26.0	2.8	55.6	44.5	46.5	30.0
Eye Care peers (weighted avg)			24.7	21.5	19.7	17.1
Brunello Cucinelli (James GRZINIC)	EUR 83	5.8	36.8	32.1	25.4	22.8
Burberry (James GRZINIC)	GBp 1,168	4.8	30.3	20.8	20.7	15.6
Ferrari (James GRZINIC)	EUR 337	85.5	34.8	31.2	27.0	24.7
Hermes (James GRZINIC)	EUR 1,511	179.0	33.9	29.5	22.1	20.3
Kering (James GRZINIC)	EUR 286	30.9	44.2	28.5	24.0	18.9
LVMH (James GRZINIC)	EUR 472	233.2	21.1	18.5	14.7	13.6
Moncler (James GRZINIC)	EUR 48.7	13.1	20.3	18.7	14.3	13.2
Prada (James GRZINIC)	HKD 38.5	10.9	14.2	12.9	11.9	10.8
Richemont (James GRZINIC)	CHF 189	122.9	27.6	24.0	21.9	19.4
Luxury peers (weighted avg)			28.4	24.4	20.0	18.0
EssilorLuxottica		75.7	22.8	20.9	17.8	16.0
% premium / (discount) vs Eye Care			(8%)	(3%)	(10%)	(6%)
% premium / discount vs Luxury			(20%)	(15%)	(11%)	(11%)

Source: FactSet, JEF estimates

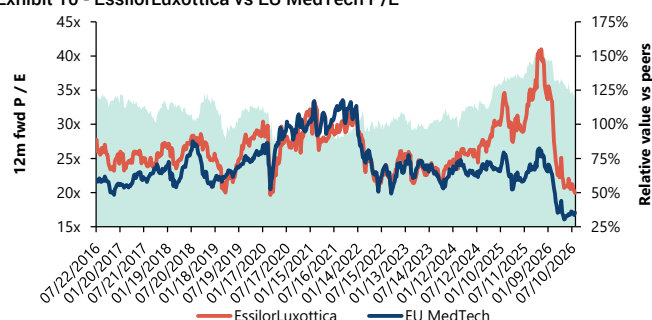
While EL is a structural outperformer and prime consolidator in a steadily growing optical market, it is increasingly perceived as a leading innovator from MedTech (Stellest) and Luxury to Digital (Ray-Ban Meta) and now Hearing Care (Nuance). Hence, a quick look at the valuation of GAFAM leaves us comfortable EL is not trading at unreasonable multiples.

Exhibit 9 - EL valuation vs GAFAM

GAFAM multiples	Share price	Mkt cap (USD bn)	P/E		EV / EBIT	
			CY26e	CY27e	CY26e	CY27e
Alphabet (Brent THILL)	USD 334	3,579	16.6	22.2	20.9	16.8
Amazon (Brent THILL)	USD 231	2,286	26.0	22.9	20.7	16.6
Apple (Edison LEE)	USD 340	4,387	38.8	35.1	29.5	26.9
Meta (Brent THILL)	USD 593	1,323	18.0	16.9	14.3	12.3
Microsoft (Brent THILL)	USD 393	2,566	23.1	20.2	18.3	16.5
GAFAM average			26.3	25.5	22.4	19.4
EssilorLuxottica		75.7	22.8	20.9	17.8	16.0
% premium / (discount) vs GAFAM			(13%)	(18%)	(21%)	(18%)

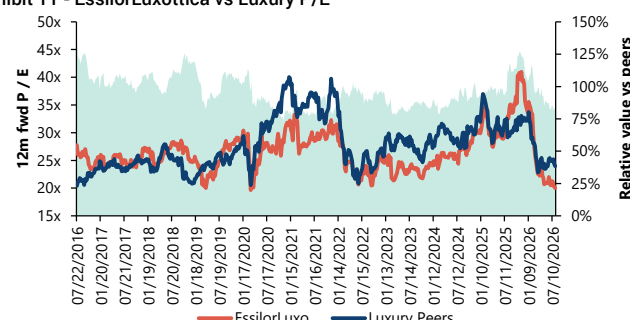
Source: FactSet, JEF estimates

Exhibit 10 - EssilorLuxottica vs EU MedTech P/E



Source: Factset, Jefferies

Exhibit 11 - EssilorLuxottica vs Luxury P/E



Source: Factset, Jefferies

Exhibit 12 - P&L EssilorLuxottica

Profit and Loss												
Dec YE- (EURm)												
	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Group sales	17,391	14,429	19,813	24,494	25,394	26,508	28,491	30,015	32,532	34,987	37,629	40,470
Cost Of Goods Sold	(6,573)	(6,242)	(7,589)	(8,910)	(9,347)	(9,702)	(11,237)	(11,832)	(12,889)	(13,827)	(14,833)	(15,913)
Gross Profit	10,818	8,187	12,224	15,584	16,047	16,806	17,254	18,183	19,642	21,160	22,795	24,557
% margin	62.2%	56.7%	61.7%	63.6%	63.2%	63.4%	60.6%	60.6%	60.4%	60.5%	60.6%	60.7%
Selling	(4,918)	(4,182)	(5,700)	(7,741)	(8,041)	(8,518)	(8,784)	(9,165)	(9,901)	(10,614)	(11,396)	(12,236)
General and Administrative	(2,000)	(1,711)	(1,982)	(2,116)	(2,211)	(2,193)	(2,330)	(2,346)	(2,510)	(2,682)	(2,866)	(3,062)
Advertising and Marketing	(1,331)	(1,156)	(1,534)	(1,811)	(1,799)	(1,820)	(1,866)	(1,876)	(1,984)	(2,099)	(2,201)	(2,307)
R&D costs	(548)	(552)	(579)	(600)	(593)	(630)	(664)	(670)	(726)	(780)	(839)	(903)
Royalties	(168)	(134)	(174)	(219)	(246)	(252)	(249)	(262)	(268)	(288)	(310)	(333)
Other income / (expenses)	(174)	0	64	61	19	55	19	0	0	0	0	0
EBIT reported	1,679	452	2,319	3,158	3,176	3,448	3,379	3,864	4,253	4,697	5,183	5,716
% margin	9.7%	3.1%	11.7%	12.9%	12.5%	13.0%	11.9%	12.9%	13.1%	13.4%	13.8%	14.1%
One-offs	(1,134)	(922)	(953)	(957)	(1,002)	(966)	(1,080)	(920)	(928)	(935)	(943)	(952)
EBIT adjusted	2,812	1,374	3,272	4,115	4,178	4,414	4,459	4,785	5,181	5,632	6,126	6,668
% margin	16.2%	9.5%	16.5%	16.8%	16.5%	16.7%	15.7%	15.9%	15.9%	16.1%	16.3%	16.5%
Net financial result	(142)	(140)	(130)	(131)	(140)	(159)	(184)	(219)	(169)	(149)	(128)	(97)
Share of associates	(2)	1	3	6	(1)	3	(0)	0	0	0	0	0
Profit before tax	1,535	313	2,192	3,033	3,035	3,291	3,195	3,645	4,085	4,548	5,055	5,619
% margin	8.8%	2.2%	11.1%	12.4%	12.0%	12.4%	11.2%	12.1%	12.6%	13.0%	13.4%	13.9%
Income tax expenses	(350)	(164)	(587)	(751)	(609)	(800)	(752)	(875)	(980)	(1,092)	(1,213)	(1,348)
Tax rate	22.8%	52.5%	26.8%	24.8%	20.1%	24.3%	23.5%	24.0%	24.0%	24.0%	24.0%	24.0%
Net profit reported	1,185	149	1,605	2,282	2,426	2,491	2,443	2,770	3,104	3,457	3,842	4,270
Minority interests	(108)	(64)	(150)	(128)	(137)	(132)	(128)	(147)	(140)	(133)	(126)	(120)
Net profit attributable to equity holders reported	1,077	85	1,455	2,154	2,289	2,359	2,315	2,623	2,965	3,324	3,716	4,150
One-offs	(861)	(704)	(744)	(706)	(657)	(763)	(842)	(700)	(705)	(711)	(717)	(723)
Net profit attributable to equity holders adjusted	1,938	788	2,199	2,860	2,946	3,122	3,157	3,323	3,670	4,035	4,432	4,874
Per Share Data (EUR)												
Weighted avg number of shares	434	436	439	442	448	454	459	462	468	474	481	489
Diluted weighted avg number of shares	441	439	445	446	451	460	465	465	471	477	485	492
EPS reported	2.48	0.19	3.32	4.87	5.11	5.20	5.04	5.68	6.34	7.01	7.72	8.48
Diluted EPS reported	2.44	0.19	3.27	4.83	5.08	5.13	4.98	5.64	6.30	6.96	7.67	8.43
EPS adjusted	4.46	1.81	5.01	6.47	6.57	6.88	6.88	7.20	7.85	8.51	9.21	9.96
Diluted EPS adjusted	4.39	1.80	4.94	6.42	6.54	6.79	6.79	7.15	7.80	8.45	9.15	9.90
DPS	1.15	1.08	2.51	3.23	3.95	3.95	4.00	4.18	4.56	4.95	5.35	5.79
Payout ratio (%)	46%	557%	76%	66%	77%	76%	79%	74%	72%	71%	69%	68%

Source: Jefferies estimates, company data

Company Description

EssilorLuxottica

EssilorLuxottica is the leading global producer and distributor of eyewear frames and lenses. It was formed in 2018 from the combination of Luxottica, a market leader in premium, luxury, and sports eyewear, and Essilor, the No. 1 manufacturer and distributor of ophthalmic lenses and equipment. The combined group has over 9,000 retail stores and holds manufacturing licenses for various luxury brands, including Bulgari, Burberry, Chanel, Giorgio Armani, Prada, Tiffany, and Versace. The group has patents on a variety of lens technology, including Varilux, Eyezen, and Crizal, developed in a network of 500 labs worldwide, in addition to owning a variety of leading eyewear brands such as Ray-Ban, Oakley, and Persol.

Company Valuation/Risks

EssilorLuxottica

Valuation: We value EL through an equally weighted avg of a DCF valuation (6.25% WACC; 2.5% TGR) and two comps-based valuation (75% premium to Eye Care peers / 30-35% premium to Luxury peers).

Risks: To the upside, stronger organic growth fuelled by new growth initiatives (Stellest, Nuance and/or Ray-Ban Meta) could positively surprise, while also driving faster-than-expected margin gains. Conversely, to the downside, the main risks lie in the long-awaited recovery in the US (>40% of sales) not living up to expectations, superior EMEA growth slowing down due to mounting economic pressures and margin trajectory remaining stalled - this would lead to multiple compression.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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James Heaney has a long position in Facebook.

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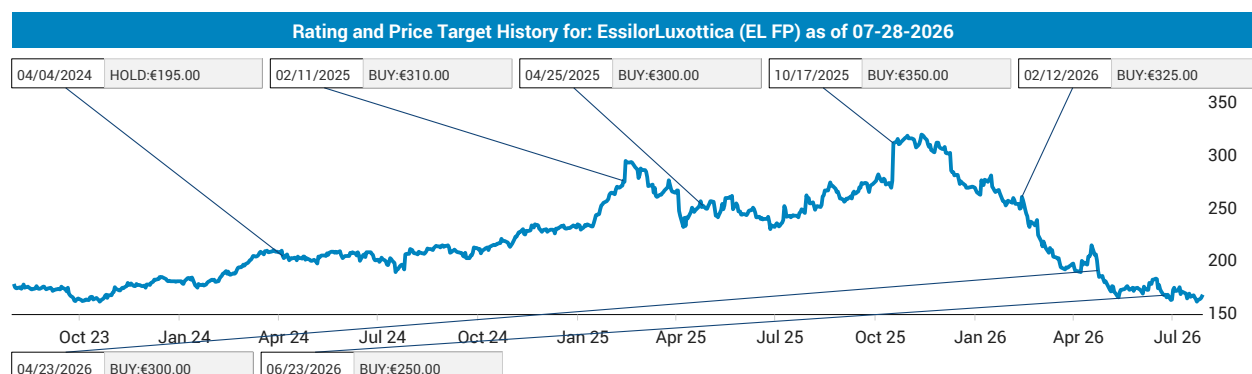
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- Amplifon (AMP IM: €11.66, HOLD)
- Apple Inc. (AAPL: \$340.08, HOLD)
- Applied Materials Inc. (AMAT: \$476.46, BUY)
- Bausch + Lomb Corp (BLCO: \$16.61, BUY)
- Brunello Cucinelli SpA (BC IM: €85.12, HOLD)
- Burberry Group PLC (BRBY LN: p1,140.00, UNDERPERFORM)
- Compagnie Financière Richemont SA (CFR SW: CHF193.65, BUY)
- Costco Wholesale Corp. (COST: \$966.58, BUY)
- EssilorLuxottica (EL FP: €168.65, BUY)
- Ferrari Group PLC (FERGR NA: €7.90, BUY)
- Hermès International SCA (RMS FP: €1,695.50, BUY)
- Hoya Corp. (7741 JP: ¥23,685, BUY)
- Kering (KER FP: €250.50, HOLD)
- LVMH Moët Hennessy Louis Vuitton SE (MC FP: €470.30, HOLD)
- Meta Platforms, Inc. (META: \$593.41, BUY)
- Microsoft Corporation (MSFT: \$393.35, BUY)
- Moncler (MONC IM: €47.60, HOLD)
- National Vision Holdings, Inc. (EYE: \$21.81, BUY)
- Nikon (7731 JP: ¥1,956, HOLD)
- PRADA SpA (1913 HK: HK\$37.98, BUY)
- Sonova (SOON SW: CHF223.00, UNDERPERFORM)
- The Cooper Companies, Inc. (COO: \$72.06, BUY)



Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2233	62.50%	391	17.51%	113	5.06%
HOLD	1180	33.03%	94	7.97%	14	1.19%
UNDERPERFORM	160	4.48%	0	0.00%	0	0.00%

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